

Candlestick Patterns - Day 1

Candle anatomy and seventeen visual pattern examples.

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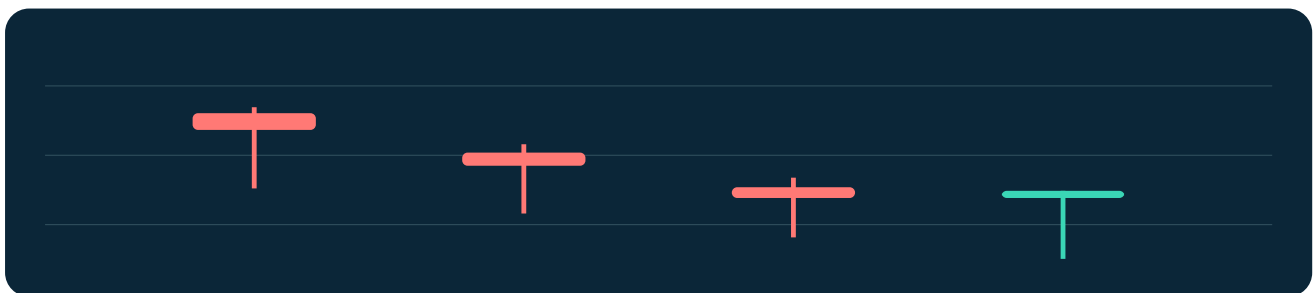
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Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

Before the patterns

Start with candle anatomy: open, high, low and close. A pattern gains meaning from its prior trend, location near a level and subsequent price response.

01 Hammer

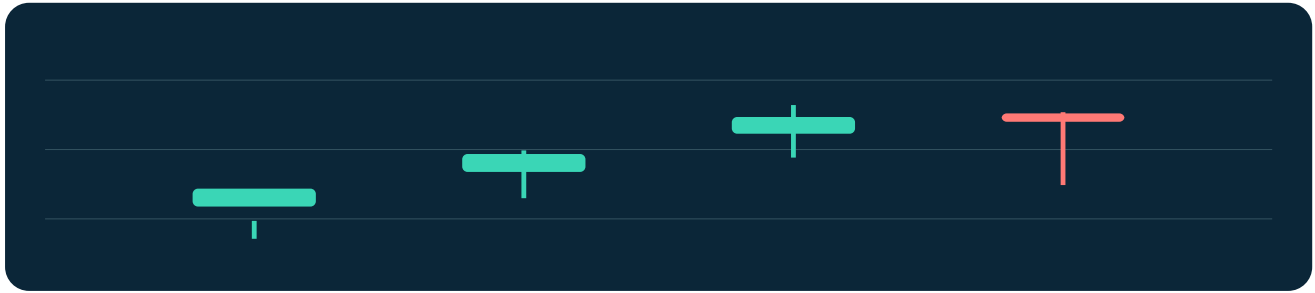


At the end of a decline

A small body near the high with a lower shadow roughly twice the body or more. Little upper shadow. The location matters more than its colour.

How to read it: Look for evidence that selling was rejected at a support area; one candle does not prove a reversal.

02 Hanging Man

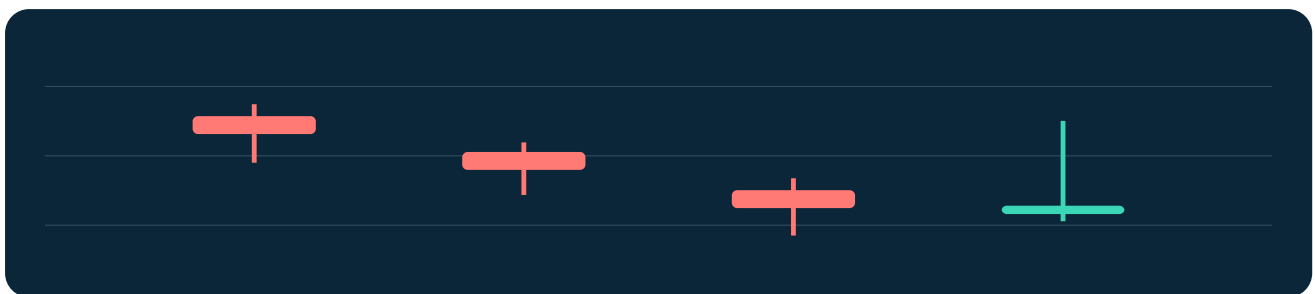


After an advance

The shape resembles a hammer but occurs after a rise. Its long lower shadow shows an intraday sell-off despite a close near the high.

How to read it: Watch the next candle for bearish confirmation rather than assuming the trend has turned.

03 Inverted Hammer

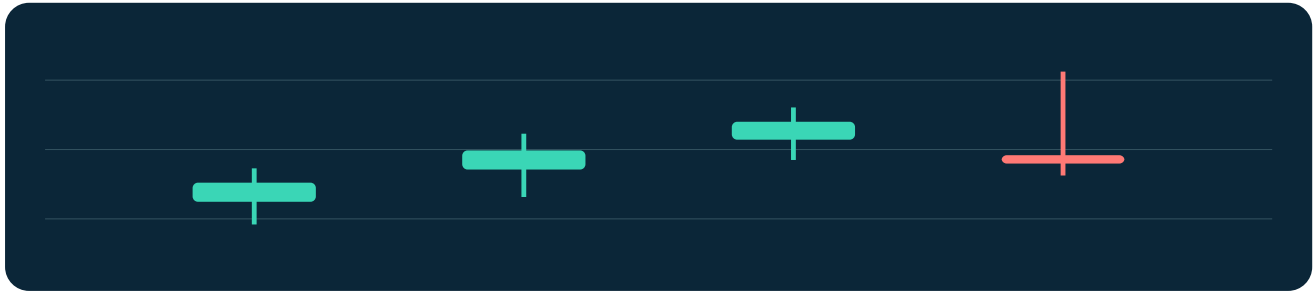


After a decline

A small body near the low with a long upper shadow, appearing after a downtrend. The same shape at an uptrend high is often called a shooting star.

How to read it: Wait for subsequent strength to distinguish a possible bullish reversal from a failed rally.

04 Shooting Star

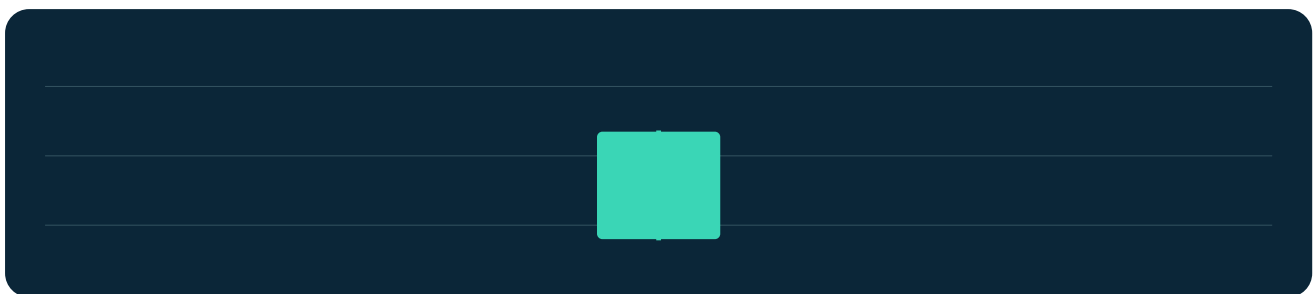


Near an uptrend high

A small body near the low with a long upper shadow. Price moved higher during the candle but could not hold that gain.

How to read it: A later close below the pattern low can support a bearish reading; the candle alone is only a clue.

05 Bullish Marubozu

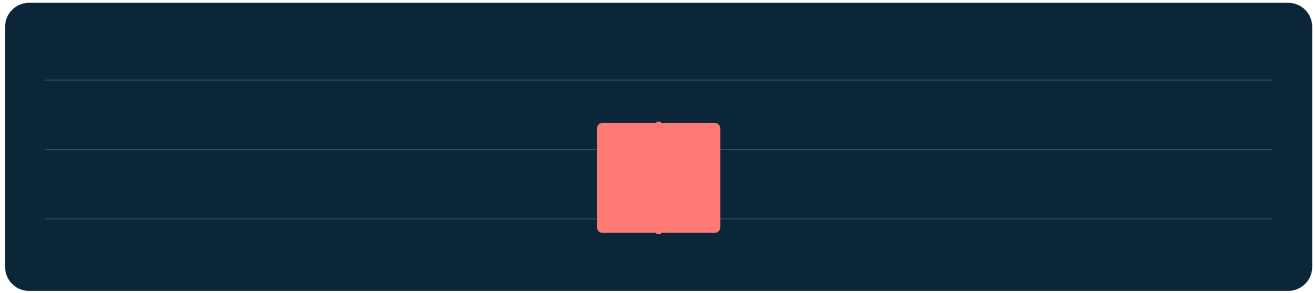


Directional single candle

A long green body with very small or absent wicks: the close is near the high and the open is near the low.

How to read it: It suggests strong buying during that candle, but follow-through is uncertain.

06 Bearish Marubozu

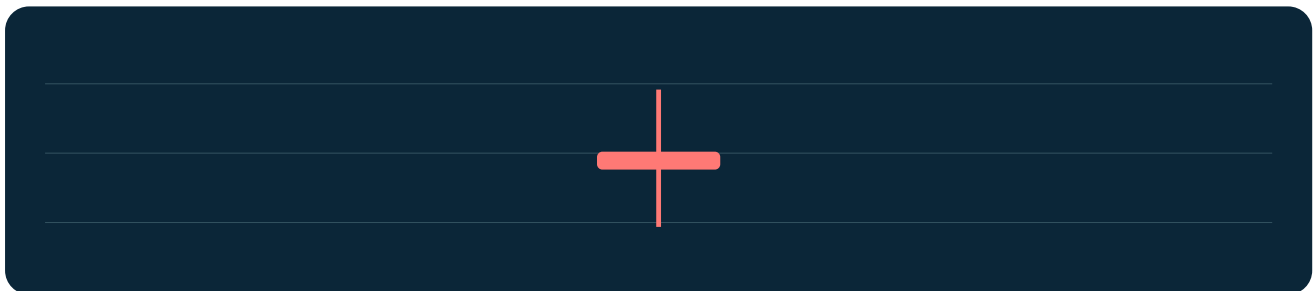


Directional single candle

A long red body with very small or absent wicks: the open is near the high and the close is near the low.

How to read it: It suggests strong selling during that candle, but follow-through is uncertain.

07 Spinning Top



Small body, two shadows

A small real body with upper and lower shadows. It can occur in either colour and often reflects hesitation.

How to read it: The surrounding trend, support or resistance, and later candles determine whether it becomes meaningful.

08 Standard Doji



Indecision

Open and close are at or very near the same price, leaving a very small body. The shadows show the range traded.

How to read it: It shows balance in that candle, not a trade direction. Use nearby levels and the next candle.

09 Long-legged Doji

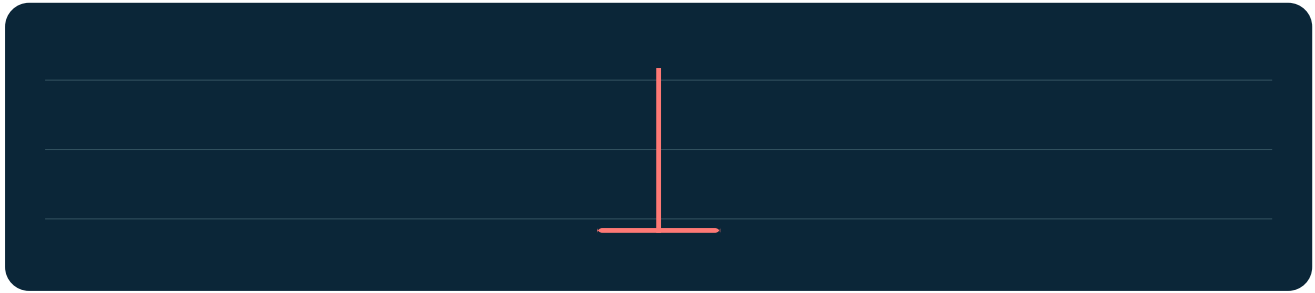


Wide intraday disagreement

The open and close are close together while both upper and lower shadows are long.

How to read it: A larger range can reflect stronger disagreement; context and later confirmation still matter.

10 Gravestone Doji



Upper-wick rejection

The open and close are near the low; most of the candle is a long upper shadow.

How to read it: Near an uptrend high it can warn of rejection, but the next candles decide whether that rejection persists.

11 Dragonfly Doji

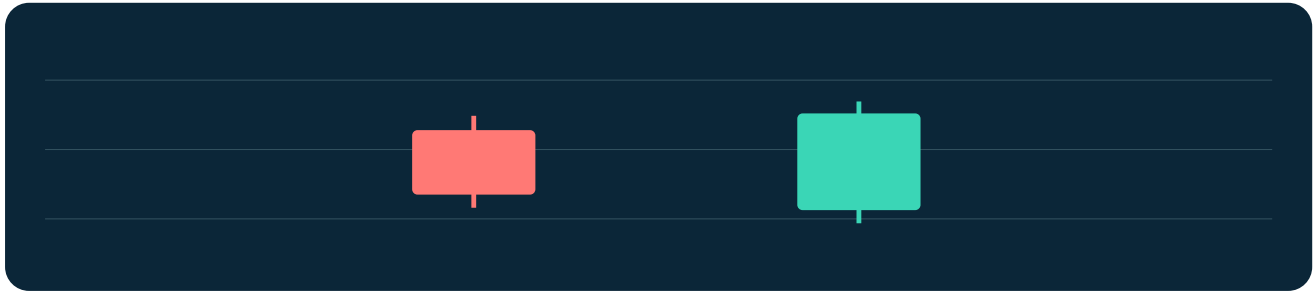


Lower-wick rejection

The open and close are near the high; most of the candle is a long lower shadow.

How to read it: Near the end of a decline it can suggest rejected selling, subject to confirmation.

12 Bullish Engulfing

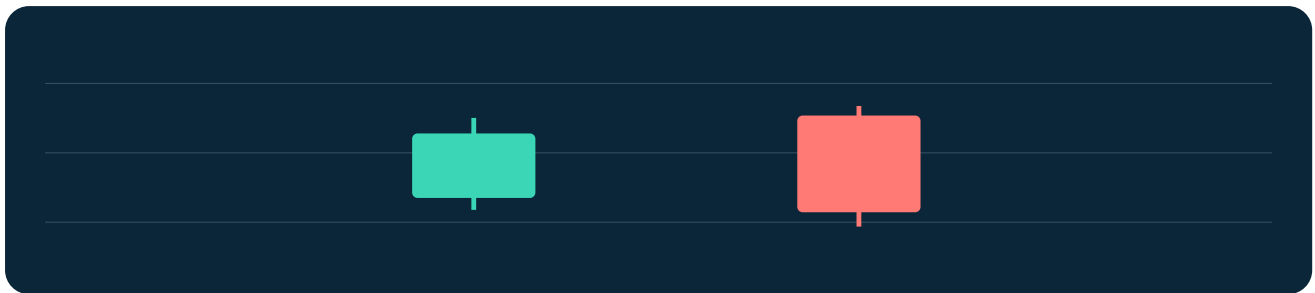


Two candles after a decline

A green real body surrounds the previous red real body. The body-to-body comparison is the key feature.

How to read it: At a base or support area, it may signal a change in pressure. Confirm the broader trend and risk level.

13 Bearish Engulfing

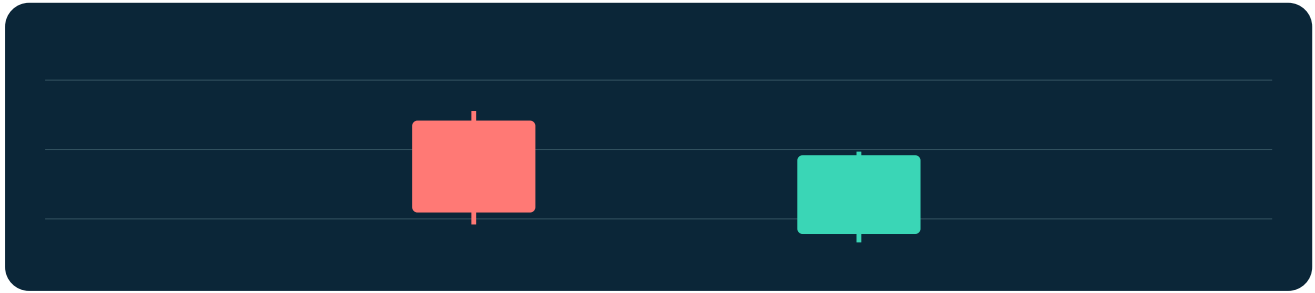


Two candles after an advance

A red real body surrounds the previous green real body. Its position after an up move gives the pattern context.

How to read it: It may indicate sellers taking control; wait to see whether the next price action confirms.

14 Piercing Pattern

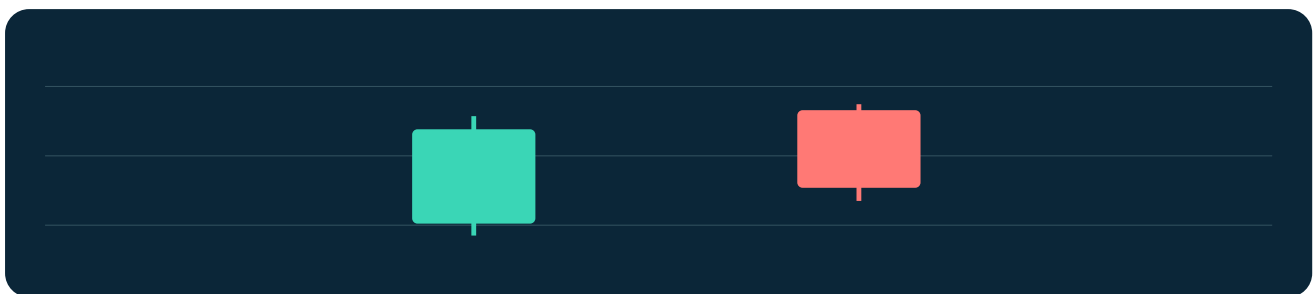


Bullish two-candle reversal

A red candle is followed by a green candle that opens below the earlier low and closes above the midpoint of the red body, yet below its open.

How to read it: Its relevance rises when it appears after a downtrend; the midpoint is a useful visual check.

15 Dark Cloud Cover

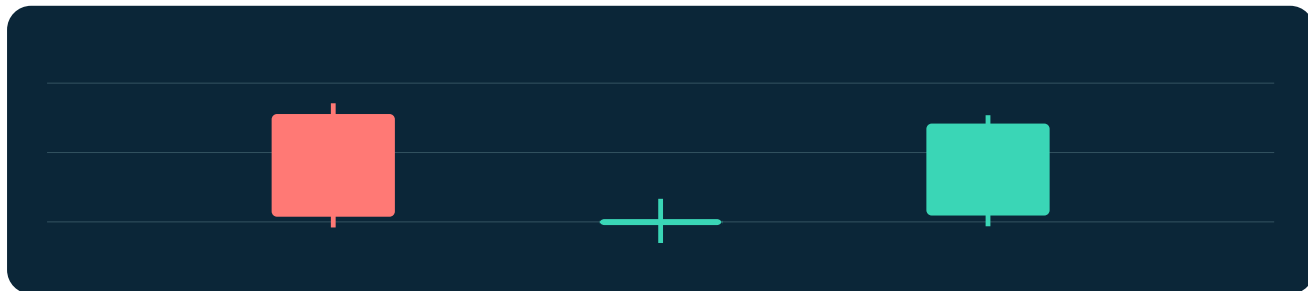


Bearish two-candle reversal

A green candle is followed by a red candle that opens above the prior high and closes below the midpoint of the green body, yet above its open.

How to read it: It is evaluated after an uptrend. A piercing pattern is its bullish counterpart, not the same pattern at a different location.

16 Morning Star

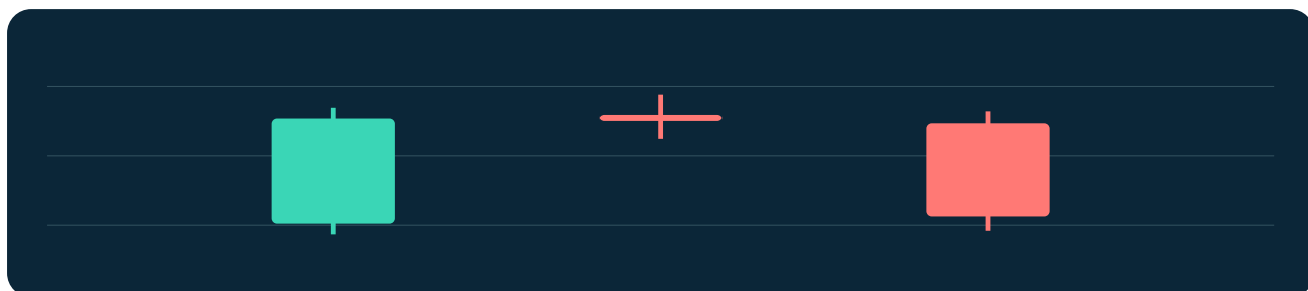


Three-candle bullish setup

A long red candle, a smaller middle candle, then a strong green candle. The middle candle may be a Doji.

How to read it: Look for it after a decline; the third candle gives the recovery its shape. Volume and follow-through can add context.

17 Evening Star



Three-candle bearish setup

A long green candle, a smaller middle candle, then a strong red candle. The middle candle may be a Doji.

How to read it: Look for it after an advance; the third candle shows the shift toward sellers.

A practical reading checklist

- Identify the prior trend and the nearest relevant level.
- Check the shape, close and follow-through; a pattern can fail.
- Define the price action that would invalidate the idea before deciding risk.

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